

ROLL NO.

--	--	--	--	--	--	--

SIGN. OF STUDENT

--

ROOM NO. _____

SIGN. OF INVIGILATOR

--

END TERM EXAMINATION, JUNE- 2024**M.B.A.****FINANCIAL MANAGEMENT****MBA 202****Time: 3:00 Hrs.****M.M.: 100**

- Note:** 1. This paper consists of three parts: **Part-A (30 marks)**, **Part-B (40 marks)** & **Part-C (30 marks)** respectively.
2. **Part-A** having objectives / fill in the blanks / true and false and matching type questions. The students have to attempt all questions from **Part-A** in the Question Paper itself. Time allotted for **Part-A** is **40 minutes**.
3. The students have to attempt **8** questions from **Part-B** and **3** questions from **Part-C** in the Answer Book. Time allotted for Part-B and Part-C is **2:20 Hrs**.

PART-A**1. Answer the following****30****A : Indicate True or False:****5 x 1**

(i)	Theoretically, market values of assets are better for evaluating the creation of shareholder wealth than accounting numbers, but accounting numbers are used because they are more readily available.	True/False
(ii)	Borrowing money causes a corporation's return on operating assets to decrease because of the interest that must be paid.	True/False
(iii)	The present value of a single future sum of money is inversely related to both the number of years until payment is received and the discount rate.	True/False
(iv)	The firm's cost of capital may also be referred to as the firm's opportunity cost of capital.	True/False
(v)	The firm's cost of capital is important when evaluating the firm's overall value, but it should not be used to evaluate individual projects which have their own unique characteristics.	True/False

B: Fill in the Blanks:**10 x 1**

(i)	_____ can be done to reduce the risk of an investment portfolio.
(ii)	The net present value of a project will increase as the required rate of return is _____
(iii)	Whenever the internal rate of return on a project equals that project's required rate of return, the net present value becomes _____
(iv)	Floataion Costs lead to _____ in the cost of capital.
(v)	The slope of the characteristic line of a security is _____

(vi)	The cost of preferred stock is equal to the preferred stock dividend divided by the _____
(vii)	If a firm were to earn exactly its cost of capital, we would expect the price of its common stock to remain _____.
(viii)	The best financial structure is determined by finding the debt and equity mix that _____ the firm's cost of capital.
(ix)	When several sign reversals in the cash flow stream occur, a project can have _____ IRR
(x)	If a project's profitability index is less than one, then the project should be _____

C : Write short answer of the following questions :

5 x 2

(i)	What is an Annuity? _____ _____ _____
(ii)	What do you understand by Floatation Costs? _____ _____ _____
(iii)	A preferred stock pays a dividend of \$3.60 and sells for \$28.00. The marginal tax rate is 35%. What is the cost of preferred financing? _____ _____ _____
(iv)	Explain the Weighted Average Cost of Capital (WACC) _____ _____ _____
(v)	A firm reports that in a certain year it had a net income of \$5.0 million, depreciation expenses of \$3.0 million, capital expenditures of \$2.0 million, and Net Working Capital decreased by \$1.1 million. What is the firm's free cash flow for that year? _____

D. Tick the best alternative:

5 x 1

(i)	Assuming two investments have equal lives, a high discount rate tends to favor:			
	(a)	the investment with large cash flows early.	(b)	the investment with large cash flows late.
	(c)	the investment with even cash flow.	(d)	neither investment since they have equal lives.
(ii)	If you were to use the standard deviation as a measure of investment risk, which of the following has historically been the least risky investment?			
	(a)	common stock of large firms	(b)	Treasury bills
	(c)	common stock of small firms	(d)	long-term government bonds
(iii)	The firm financed completely with equity capital has a cost of capital _____ the required return on common stock.			
	(a)	Equal to	(b)	Less than
	(c)	More than	(d)	None of these
(iv)	Higher flotation costs will result in all of the following EXCEPT			
	(a)	higher after-tax cost of debt.	(b)	higher weighted average cost of capital.
	(c)	higher cost of retained earnings.	(d)	higher cost of common equity when new common shares are sold.
(v)	The internal rate of return is			
	(a)	the discount rate that makes the NPV positive.	(b)	the discount rate that equates the present value of the cash inflows with the present value of the cash outflows.
	(c)	the discount rate that makes NPV negative and the PI greater than one.	(d)	the rate of return that makes the NPV positive.

END TERM EXAMINATION, JUNE- 2024

M.B.A.

FINANCIAL MANAGEMENT

MBA 202

Time: 2:20 Hrs.

M.M.: 70

Note: The students have to attempt 8 questions from **Part-B** and 3 questions from **Part-C** in the Answer Book.
Time allotted for Part-B and Part-C is 2:20 Hrs.

PART-B

Answer any eight questions from the following:

8 x 5

2.	Assume that an investment is forecasted to produce the following returns: a 30% probability of a 12% return; a 50% probability of a 16% return; and a 20% probability of a 19% return. What is the expected percentage return this investment will produce?
3.	Why is Operating Leverage called as a double-edged sword?
4.	Point out the flaws of the Payback Period.
5.	Explain the CAPM model for calculating cost of equity.
6.	ABC Corporation's common stock is selling for \$16.80 a share. Last year ABC paid a dividend of \$.80. Investors are expecting Sutter's dividends to grow at an annual rate of 5% per year. What is the cost of internal equity?
7.	What is the difference between the IRR and the MIRR?
8.	Why is the valuation of a Startup challenging than other businesses?
9.	Explain Margin of Safety in the context of Working Capital Management
10.	What do you understand by options in capital budgeting?
11.	The cost of common equity financing is more difficult to estimate than the costs of debt and preferred equity. Explain why.

PART-C

Answer any three questions from the following:

3 x 10

12.	Describe the functional decisions involved in working capital management and the trade-off influencing the decision process.																									
13.	ABC Solutions has \$10 million of outstanding equity and \$5 million of bank debt. The bank debt costs 5% per year. The estimated equity beta is 2. If the market risk premium is 9% and the risk-free rate is 3%, compute the weighted average cost of capital if the firm's tax rate is 30%.																									
14.	Flex Industries is considering a new capital budgeting project that will last for three years. Epiphany plans on using a cost of capital of 12% to evaluate this project. Based on extensive research, it has prepared the following incremental cash flow projects: <table><tr><th>Year</th><th>0</th><th>1</th><th>2</th><th>3</th></tr><tr><td>Sales (Revenues)</td><td></td><td>150,000</td><td>150,000</td><td>150,000</td></tr><tr><td>- Cost of Goods Sold (50% of Sales)</td><td></td><td>75,000</td><td>75,000</td><td>75,000</td></tr><tr><td>- Depreciation</td><td></td><td>25,000</td><td>25,000</td><td>25,000</td></tr><tr><td>= EBIT</td><td></td><td>50,000</td><td>50,000</td><td>50,000</td></tr></table>	Year	0	1	2	3	Sales (Revenues)		150,000	150,000	150,000	- Cost of Goods Sold (50% of Sales)		75,000	75,000	75,000	- Depreciation		25,000	25,000	25,000	= EBIT		50,000	50,000	50,000
Year	0	1	2	3																						
Sales (Revenues)		150,000	150,000	150,000																						
- Cost of Goods Sold (50% of Sales)		75,000	75,000	75,000																						
- Depreciation		25,000	25,000	25,000																						
= EBIT		50,000	50,000	50,000																						

	- Taxes (35%)		17,500	17,500	17,500
	= unlevered net income		32,500	32,500	32,500
	+ Depreciation		25,000	25,000	25,000
	+(-) increase/(decrease) in working capital		5,000	5,000	-10,000
	- capital expenditures	-90,000			
Calculate the NPV for the project. Present Value interest factor for Re 1 @12% are as follows: year 1= 0.8929, year 2= 0.7972, year 3= 0.7118					
15.	List and describe at least three advantages and three disadvantages to having a firm's shares traded in the public equity market.				
16.	Briefly describe the three methods of business valuation.				